DAILY MARKET OVERVIEW

Saturday, March 21, 2026 | Issue #2026-080

Professional Trading Intelligence — Geopolitical Risk Edition

■ MACRO ALERT: U.S.-Israel War on Iran (Day ~8) — Strait of Hormuz Disruption Driving Stagflation Risk Across All Asset Classes ■

■ MARKET SNAPSHOT — FRIDAY CLOSE (March 20, 2026)

INDEX	CLOSE	CHANGE	% CHANGE	STATUS
S&P 500	6,506.48	▼ –99.50	–1.51%	■ Testing Nov Low
NASDAQ Comp.	21,647.61	▼ –444.00	–2.01%	6-Month Low
Dow Jones	45,577.47	▼ –443.96	–0.96%	4-Month Low
Russell 2000	2,462.82	▼ –31.89	–1.28%	Correction –10%

■ COMMODITIES, RATES & CRYPTO

ASSET	PRICE / LEVEL	CHANGE / NOTE
Brent Crude (Oil)	~$113–$119 / bbl	▲ +25%+ since Iran war began; Iraq FM
WTI Crude	>$112 / bbl	Highest since Russia-Ukraine 2022
Gold (Spot)	~$5,500+ / oz	▼ –10% worst weekly rout since 2011
Silver (Spot)	>$120 / oz briefly	▼ –3% on week; –1% YTD
10-Year Treasury	4.39% yield	▲ +14 bps Friday; highest since Jul 2025
2-Year Treasury	3.90% yield	▲ +10 bps Friday
Bitcoin (BTC)	$70,416	▼ Retreated from $76K post-FOMC
Ethereum (ETH)	$2,142	Relatively resilient; +20% 8-day run
VIX	24.63	▲ +2.37% — elevated fear; watch 30

■ FRIDAY'S TOP MOVERS

TICKER	COMPANY	MOVE	CATALYST
FDX	FedEx	▲ +8%+	Q3 EPS $5.25 vs $4.09 est; raised guidance
TORR	Torrid Holdings	▲ +32.8%	Earnings beat / short squeeze
PL	Planet Labs	▲ +31.5%	Earnings beat
SATL	Satellogic	▲ +22.7%	Space sector momentum
VZ	Verizon	▲ +1.3%	Defensive rotation

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CEG	Constellation Energy	▼ –10.9%	NDX worst performer of day
BARK	BARK Inc.	▼ –22.1%	Earnings miss
WDC	Western Digital	▼ –7.5%	Semiconductor selloff
MU	Micron Technology	▼ –4.8%	$25B CapEx plan — sell the news
NVDA	Nvidia	▼ –3.2%	AI capex scrutiny, sector pressure
BA	Boeing	▼ –3.0%	Macro selloff, defense sector mixed

■ FEDERAL RESERVE & MACRO BACKDROP

FOMC Decision — March 18, 2026: **HOLD at 3.50%–3.75%** (11-1 vote). One dissent (Miran) preferred 25 bps cut. Dot plot signals **one cut in 2026**, one in 2027. Core PCE forecast raised to **2.7%**. Fed cited Middle East conflict uncertainty as a key risk. Bond market is repricing: the 10-year at 4.39% is tightening financial conditions without any Fed action — watch **4.50%** as the next danger level.

Key Macro Reads:

- IMF formula: Every 10% oil price rise → +0.4% CPI, –0.15% GDP growth
- Strait of Hormuz disruption: ~20% of global crude/LNG supply suspended
- Qatar declared force majeure on LNG exports after Iranian drone strikes on gas infrastructure
- Iraq declared force majeure on ALL oilfields — unprecedented escalation
- Strategic reserve releases from multiple governments insufficient to offset disruption
- Stagflation risk is rising: higher inflation + slowing growth = worst backdrop for equities

■ SECTOR PERFORMANCE & ROTATION

SECTOR	FRIDAY	YTD 2026	TREND
Energy	+0.01%	+25.0%	✦ DOMINANT LEADER
Financials	+0.19%	–6.0%	Struggling; rate uncertainty
Healthcare	–0.89%	Mixed	Defensive but under pressure
Info Technology	–2.21%	–3.6%	AI capex scrutiny; avoid
Materials/Commodities	N/A	Outperform	Benefiting from oil shock
Utilities	N/A	Outperform	Defensive rotation winner

■ KEY TECHNICAL LEVELS — S&P; 500

LEVEL	PRICE	SIGNIFICANCE
Resistance	6,840	Near-term ceiling / supply zone
Resistance	6,782–6,731	Key resistance band
200-DMA	6,630	Critical moving average — already breached

■ Line in Sand	6,607–6,612	Must recapture for bullish recovery
Current	6,506	Friday's close — at November 2025 low
Support	~6,130	Next major support if 6,500 breaks

■ TRADING STRATEGY — MARCH 21, 2026

SHORT-TERM STRATEGY (Today / This Week)

The market is in a confirmed bearish regime. The Russell 2000 is in correction, the NASDAQ is at 6-month lows, and the S&P; 500 closed Friday at the November 2025 structural low of 6,507. Monday's open will be critical. The default posture is **defensive / short-bias until proven otherwise**.

- **Energy Longs (Core Trade)**: Oil remains the single best risk-reward in this environment. XLE, XOM, CVX, and energy royalty names (FANG, PSX) benefit directly from Brent >$110. Any dip in energy stocks is a buy opportunity while the Hormuz disruption persists.
- **FedEx (FDX) Follow-Through**: The +8% post-earnings pop on Friday confirms institutional demand. Watch for continuation above $285–$290. Set a stop below Friday's close. FDX is one of the few stocks with genuine fundamental momentum right now.
- **Volatility Play (VIX)**: VIX at ~24.63. If the S&P; breaks below 6,500 on Monday's open, VIX will spike toward 28–30. Consider long VIX via UVXY/VIXY for short-term protection or outright profit in a breakdown scenario.
- **Short Tech / NDX**: NASDAQ-100 at 6-month lows with no technical support until the 200-WMA. Semis are particularly weak (MU -4.8%, WDC -7.5%, NVDA -3.2%). Consider PSQ (inverse QQQ) or put spreads on QQQ if you want short tech exposure with defined risk.
- **Treasury Short (TLT Puts / TBT Long)**: 10-year at 4.39%, heading toward 4.50%. The bond market is pricing in sustained inflation from the oil shock. TBT (2x inverse 20-year) or TLT put spreads capture continued yield rise.
- **Gold Re-Entry Watch**: Gold sold off 10% in its worst week since 2011 — but this is the inflation trade unwinding, NOT a structural bear market in gold. Watch for stabilization around $5,200–$5,300/oz for a re-entry into GLD or gold miners (GDX).
- **Avoid Small Caps**: Russell 2000 in correction, high debt loads = most exposed to rising rates + slowing growth. Stay away from IWM longs.

MEDIUM-TERM STRATEGY (2–8 Weeks)

The macro regime will be dictated by two variables: (1) Iran war resolution timeline, and (2) whether PCE inflation re-accelerates above 3%. Both favor a continued **stagflation trade** — energy/commodities/real assets over growth equities.

- **Scenario A — Iran Resolution (4–8 weeks)**: Brent falls back toward $70–80/bbl. Energy stocks give back gains. Fed pivot narrative returns. S&P; 500 rebounds above 6,607. Probability: 35%. In this scenario, rotate from energy into beaten-down tech names (NVDA, META).
- **Scenario B — Prolonged Conflict (8+ weeks)**: Brent stays $100+. CPI re-accelerates to 3.5%+. Fed cannot cut. S&P; 500 breaks 6,500 and targets 6,130. Probability: 65%. In this scenario, energy, gold, and TIPS outperform.
- **Nike (NKE) — Earnings Watch (March 31)**: Down 24% YTD going into Q3 print. Guidance is for revenue decline + margin compression. High short interest = short squeeze potential on ANY positive surprise. Consider small speculative long into the print with tight stop. Risk/reward is asymmetric if they beat lowered bar.
- **Micron (MU) — Technical Setup**: Sold off on capex concerns despite a massive earnings beat. This creates a longer-term entry opportunity for AI memory plays. Wait for HBM4 volume ramp confirmation in Q3 guidance. Target entry below $120 for a 3-month trade.
- **Bitcoin ($BTC)**: Holding $70K post-FOMC is constructive. A Fed pivot (even one cut) could catalyze BTC above $80K. Use $65K as a stop level for any long position.

LONG-TERM OUTLOOK (3–12 Months)

- Energy transition is being set back 3–5 years by the Iran shock — traditional energy companies will benefit from sustained higher prices and renewed investment. Long XLE / XOM for 12-month hold.
- Defense spending is accelerating globally. RTX, LMT, NOC will see multi-year tailwinds from geopolitical instability. Accumulate on dips.
- AI infrastructure remains a long-term secular trend despite near-term capex concerns. NVDA pullback toward $100–$110 creates a 12-month accumulation zone.
- The 60/40 portfolio is broken: both stocks and bonds are under pressure simultaneously. Real assets (energy, gold, commodities, real estate) should represent 20–30% of a balanced portfolio.
- Watch for Fed pivot in Q4 2026 — one cut expected. That event will be the catalyst for the next risk-on cycle, particularly for growth and small caps.

RISK MATRIX — KEY WATCHLIST

EVENT / LEVEL	IMPACT IF TRIGGERED	TIMELINE
S&P 500 breaks 6,500	Cascade to 6,130 — SELL	This week
VIX spikes >30	Panic conditions — Buy puts	If S&P breaks
10-Yr Treasury >4.50%	Mortgage shock / credit stress	1–2 weeks
Brent crude >$120/bbl	CPI surge, Fed hawkish hold	If conflict widens
Iran ceasefire/deal	Brent -$30+, tech rally	Wildcard
S&P recaptures 6,607	Bullish — add risk-on	Need 3-day hold
Gold stabilizes >$5,200	Re-entry signal for GLD/GDX	Watch next 5 days
Nike (NKE) Q3 earnings	High short interest = squeeze potential	March 31

UPCOMING EARNINGS CALENDAR

DATE	TICKER	COMPANY	CONSENSUS EPS	NOTE
Mar 31	NKE	Nike	$0.29	High watch; –24% YTD
Early Apr	WMT	Walmart	TBD	Consumer health check
Mid Apr	JPM	JPMorgan Chase	TBD	Financials bellwether
Mid Apr	GS	Goldman Sachs	TBD	Trading revenue focus
Mid-Late Apr	NVDA	Nvidia (est.)	TBD	AI demand signal

MONDAY PRE-MARKET CHECKLIST

- Monitor S&P; 500 futures — gap below 6,480 signals breakdown; gap above 6,560 signals relief rally
- Watch Brent crude at open — above $115 = energy longs remain in play
- Check VIX overnight — >27 pre-market = consider reducing equity exposure
- News scan: Any Iran ceasefire rumors = energy short / tech long instantly
- FedEx (FDX) follow-through — confirm continuation above Friday's close
- 10-Year Treasury yield — if >4.45% pre-market, avoid rate-sensitive positions
- Bitcoin overnight — if BTC holds $70K through weekend, bullish for risk-on Monday

- Sector rotation check: Energy > Utilities > Healthcare > Tech (order of preference)
